



REPUBLIC OF THE PHILIPPINES  
**COMMISSION ON AUDIT**  
Commonwealth Avenue, Quezon City

**LOCAL GOVERNMENT AUDIT SECTOR  
NATIONAL CAPITAL REGION**

June 10, 2024

**Honorable VICTOR MA. REGIS N. SOTTO**

City Mayor

Pasig City

Dear Honorable Mayor Sotto:

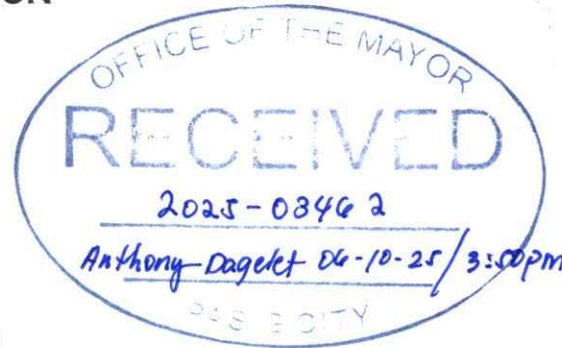
We are pleased to transmit the Annual Audit Report on the City of Pasig for Calendar Year 2024, pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The Report consists of the Independent Auditor's Report, Audited Financial Statements, Observations and Recommendations, and the Status of Implementation of Prior Year's Audit Recommendations.

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the City's financial statements in view of the significance of the exceptions noted in the audit as stated in the Independent Auditor's Report.

The significant observations and recommendations that need immediate action are as follows:

1. The balances of Property, Plant and Equipment (PPE) accounts amounting to P44.826 billion as of December 31, 2024 could not be ascertained due to: (a) unreconciled balances between the accounting and property records amounting to P988.584 million; (b) discrepancies in balances across the accounting records; (c) discrepancies in balances between Office of the General Services' (OGS) records amounting to P536.490 million; (d) lacking proper details of PPE items; (e) PPE items recorded in the books but not included in the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) aggregating P141.133 million; (f) PPE items recorded in RPCPPE but are not recorded in the books in the total amount of P445.082 million; and (g) delayed recognition of PPEs ranging from 30 to 2,744 days, contrary to the provisions of Sections 119, 120 and 124, Chapter 7 of the Manual on New Government Accounting System (MNGAS) for Local Government Units (LGUs), Volume I; Section 491 of the Government Accounting and Auditing Manual (GAAM), Volume I; Section 111 (1) of Presidential Decree (PD) No. 1445; and other related COA Circulars. Hence, casting doubt on the reliability, validity, accuracy and completeness of PPE balances presented in the financial statements.



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OFFICE OF THE VICE MAYOR  
ROBERT "DODDY" B. JAWORSKI, JR.

BY: MJ Comano

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We recommended that Management direct:

- a. The City Accounting Office (CAO) to –
    - Require the persons in charge of recording the PPEs in the Subsidiary Ledgers, Property, Plant and Equipment Ledger Card, and Lapsing Schedule (LS) to coordinate with each other and reconcile their records;
    - Provide complete and adequate details of PPEs in the LS;
    - Timely recognize PPEs in the books; and
    - Prepare the necessary adjusting journal entries.
  - b. The OGS to –
    - Completely include PPE items with Property Cards to the RPCPPE; and
    - Regularly submit the Acceptance and Inspection Report (AIR) together with its supporting documents to CAO for the timely recognition of PPEs.
  - c. CAO and OGS to –
    - Coordinate with one another to eliminate the discrepancies identified between the accounting and property records; and
    - Strictly follow the procedures prescribed in COA Circular No. 2020-006 for the one-time cleansing of the PPE account balances.
2. The balances of Construction in Progress (CIP) accounts of P1.267 billion as of December 31, 2024 were unreliable due to: (a) inclusion of completed projects amounting to P327.972 million; (b) inclusion of in progress projects in the List of On-Going and Completed Infrastructure Projects (LOCIP) that are not recorded in the books amounting to P161.122 million; and (c) in progress projects recorded in the books but not on LOCIP costing P619.132 million. Hence, not in accordance with the MNGAS for LGUs.

We recommended that Management direct:

- a. The City Engineering Office (CEO) to –
  - Submit promptly the LOCIP as well as the Certificate of Completion and other supporting documents to the Auditor and to CAO for review and proper monitoring of the progress of the City's infrastructure projects; and
  - Strictly monitor the status and progress of infrastructure projects to minimize/avoid further delay in completion thereof.

- b. The CAO to prepare the necessary adjusting journal entries to reclassify the total costs of completed projects from CIP accounts to the appropriate asset accounts based on the COC submitted by the CEO; and
- c. CEO and CAO to properly reconcile the accounting records with the LOCIP.

The audit observations together with the recommended courses of action, which were discussed with the concerned Management officials and staff during the Exit Conference conducted on May 21, 2025, are presented in detail in Part II of the Report.

We request that the recommendations contained in Parts II and III of the Report be immediately implemented and we will appreciate being informed of the action taken thereon within 60 days from receipt hereof pursuant to Section 99 of the General Provisions of the General Appropriations Act of FY 2024 (Republic Act No. 11975), using the Agency Action Plan and Status of Implementation Form to be submitted to the Audit Team.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus, facilitating the submission of this Report.

Very truly yours,

**COMMISSION ON AUDIT**

By:

**ATTY. MARIA CARMINA PAULITA B. JUGUILON PAGAYAWAN**  
Director IV

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